

Business Responsibility Report 2021-22

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

- Corporate Identity Number (CIN) of the Company:**
L74999TZ1984PLC001456
- Name of the Company :** Titan Company Limited
- Registered address :** No. 3, SIPCOT Industrial Complex, Hosur, Tamil Nadu - 635 126
- Website :** www.titancompany.in
- E-mail id :** sridharne@titan.co.in
- Financial Year reported :** 1st April 2021 to 31st March 2022
- Sector(s) that the Company is engaged in (Industrial activity code-wise) :**

NIC Code	Product Description
2652	Watches
3211	Jewellery
32507	EyeCare

- List key three products/services that the Company manufactures/provides (as in balance sheet):**
 - Watches & Wearables
 - Jewellery
 - EyeCare
- Total Number of locations where business activity is undertaken by the Company**
 - Number of International locations: The Company's products are distributed across 32 countries.
 - Number of national locations: 2040 exclusive retail outlets (Company owned and franchisees) and 11 manufacturing and assembly facilities.
- Markets served by the Company:** The Company sells its products across India as well as in several countries around the world through its International Business Division.

SECTION B: FINANCIAL DETAILS OF THE COMPANY

- Paid up capital (INR):** ₹ 88.78 crore
- Total Turnover (INR):** ₹ 27,210 crore
- Total Profit after Taxes (INR):** ₹ 2,180 crore
- Total CSR spending as percentage of Profit after Tax (INR):** ₹ 35.42 crore which exceeds 2% of the Average Net Profit of the Company for the last 3 financial years.
- List of activities in which spends have been incurred:** Refer Annexure II to the Board's Report

SECTION C: OTHER DETAILS

- Does the Company have any subsidiary company/companies? **Yes**
- Do the Subsidiary Company/companies participate in the BR initiatives of the parent company : **No**
- Does any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? (less than 30%, 30-60%, more than 60%)

Yes. Less than 30%

SECTION D: BR INFORMATION

- Details of Director/Director responsible for BR**
 - Details of Director/Director responsible for implementation of the BR policy/policies**
 - DIN : 05228157
 - Name: Mr. C K Venkataraman
 - Designation : Managing Director
 - Details of BR Head**
 - DIN : Not Applicable
 - Name : Mr. N E Sridhar
 - Designation : Associate Vice President and Head- Corporate Sustainability

4. Telephone : 080 67046847
5. E-mail id : sridharne@titan.co.in

2. Principle wise (as per National Voluntary Guidelines) BR policy/policies

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs) released by the Ministry of Corporate Affairs have adopted nine areas of Business Responsibility. These briefly are as follows:

- P1** Businesses should conduct and govern themselves with Ethics, Transparency and Accountability
- P2** Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle
- P3** Businesses should promote the wellbeing of all employees

- P4** Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized
- P5** Businesses should respect and promote human rights
- P6** Business should respect, protect, and make efforts to restore the environment
- P7** Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner
- P8** Businesses should support inclusive growth and equitable development
- P9** Businesses should engage with and provide value to their customers and consumers in a responsible manner

(a) Details of compliance (Reply in Y/N)

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have policy/policies for (Refer Note 1)	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national/international standards? If Yes, specify. (Refer Note 2)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/ appropriate Board Director	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the Company have a specified committee of the Board/Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be viewed online (Refer Note 3)	1,2	1,4,6	1	1,3,5	1	1,4	1	1,5	1,6
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy or policies to address the stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency? (Refer Note 4)	Y	Y	Y	Y	Y	Y	Y	Y	Y

Note 1:

The Company has adopted the Tata Code of Conduct ("the Code") which encompasses within it, ethics, transparency and accountability.

With Integrity and Trust as the pillars on which the Company operates, the Company understands and recognizes the impact it has on the larger ecosystem and hence the Tata Code of Conduct which embodies the policies and principles of respecting and promoting human rights is communicated to all stakeholders for their adherence. In line with the requirements of the Tata Code of Conduct, the Company has developed various internal policies that reinforce the Company's practices towards various stakeholders. The Company, where appropriate, also engages in advocacy and outreach and in policy making and participating in various business forums with specific emphasis on improving transparency in the unorganized sectors.

At the Company, the governance aspects of the Code is overseen at the highest level by a Board Ethics Committee which is chaired by an Independent Director and the internal structure comprises of a Chief Ethics Counsellor and a team of ethics counsellors who oversee and implement the Code across the organisation and the stakeholders.

The internal policies in line with the Code include policies on Prevention of Sexual Harassment, Conflict of Interest, Whistle Blower Policy and Acceptance of Gifts. The ethics team, through its awareness sessions and communication mechanisms enable greater awareness in the Company.

The Company also has an Occupational Health and Safety, as well as a Sustainability Policy and is committed to integrate social and ethical principles into its products that are safe and contribute to sustainability throughout their life cycle. The Company is dedicated towards the well-being of its employees and has policies that not only support employee welfare but also enable their enhanced engagement with the Company. Towards serving the needs of the community, the Company has a CSR Policy and Affirmative Action Policy with various programs driven as part of its CSR activities.

Note 2:

The Code of conduct has been developed by the Tata Group as a result of detailed consultations and research on the best practices adopted and these apply to all the Tata Group companies. Further, the Company is certified ISO 9000 for Quality Management Systems,

ISO 14001 for Environment Management Systems, and upgraded recently to ISO 45001 international standards for Occupational Health & Safety. Titan is the first such company in the country to encompass all its locations factories, offices, Company-owned stores and CFAs. The Company's Watches & Wearables Division is certified under ISO 50001 Energy Management System. The Company's corporate office has been certified with a "LEED Platinum Rating".

Note 3:

The following are the various policies:

- 1: Tata Code of Conduct
- 2: Whistle Blower Policy
- 3: CSR Policy
- 4: Sustainability Policy
- 5: Affirmative Action Policy
- 6: Occupational Health and Safety Policy
- 7: Policy on Conflict of Interest
- 8: Policy on Gifting
- 9: Policy guidelines against Financial Misdemeanour

The above policies can be accessed at <https://www.titancompany.in/investors/corporate-governance/policies>.

Note 4:

All policies applicable to the Company are evaluated internally and updated on an ongoing basis. On a biennial basis, there is an internal survey conducted on the effectiveness of the implementation of the Tata Code of Conduct, and a summary of the outcomes are presented to the Board Ethics Committee. Besides this, annually the Company prepares "Right Way Plans" to reinforce the implementation of the Tata Code of Conduct within the Company and across its stakeholders.

- (b) If answer to question at serial number 1 against any principal is 'No', please explain why:

Not Applicable

3. Governance related to BR

- (a) **Indicate the frequency with which the Board of Directors, committee of the board or CEO meet to assess the BR performance of the company. Within 3 months, 3-6 months, Annually, More than 1 year**

Nine Board Meetings were held during the year and the gap between two meetings did not exceed

one hundred and twenty days. The Board at its meetings reviews updates on sustainability, CSR, environment, health and safety.

- (b) **Does the Company publish a BR or a Sustainability Report? What is the hyper link for viewing this report? How frequently is it published?**

Yes, the Company publishes its Business Responsibility Report annually and is available at <https://www.titancompany.in/csr>.

SECTION E: PRINCIPLE-WISE PERFORMANCE

Principle 1

1. **Does the policy related to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the group/JV/Suppliers/Contractors/NGO's others?**

No. The Company's ethics policy as embodied in the Tata Code of Conduct extends to its group/JV/Suppliers/Contractors/NGOs etc.

2. **How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so provide details in about 50 words or so.**

The Company's stakeholders include its investors, customers, vendors, employees, Government and local communities.

During FY 2021-22 the Company had received 21 ethics complaints out of which 17 have been disposed-off with appropriate action taken and the remaining 4 complaints are under review.

For details on investor complaints and resolutions, please refer to "Investor Complaints" in the Corporate Governance Report. For details on Customer Complaints, please refer to Principle 9 under this Section-E.

Principle 2

1. **List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and opportunities.**

The three product categories, i.e., Watches & Wearables, Jewellery and EyeCare incorporate principles of Environmental Management System (EMS) in their management system practices as part of their operations.

2. **For each product, provide the following details in respect of resource usage (energy water, raw material, etc.):**

- (a) Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain
- (b) Reduction during usage by consumers (energy, water) has been achieved since the previous year

Energy:

Energy	Units	Total
Diesel	lakh Litres	6.74
LPG	Kgs	1,19,543.00
Electricity	lakh Units	378.39
Wind energy	lakh Units	112.11
Steam	Kg	40,80,302.01
Hydrogen	m3	16,812
Hydro Fluorocarbons (Freon gas)	Kg	48.00
Solar	lakh Units	35.69

Energy consumed and the sources - FY 2021-22

The Company and its divisions continue to harness energy from renewable sources such as solar and wind, thereby positively impacting the environment and reducing carbon emissions. Apart from this, the pursuit of several initiatives has led to energy savings despite increased levels of operations across all areas. The Jewellery Division of the Company invested in a 2MW solar plant, that would ensure that the factory operates completely from renewable energy sources in the coming years.

Water:

Consolidated - Water Consumed in FY 2021-22

Division	Water Consumed	Water Recycled	% of Water Recycled
Watches & Wearables	87,973	70,001	79.57%
Jewellery	47,719	38,064	79.77%
EyeCare	14,421	13,079	90.69%
Corporate & Offices	1,08,040	17,016	15.75%
Company Retail Stores	27,625	2,762	10.00%
Total	2,85,778	1,40,922	49.31%

Increased focus and significant efforts in conservation, recycling and reuse have not only resulted in reduced water consumption but the level of recycling has

increased to above 80% in the ISCM locations. This has been made possible by treating the output water for gardening, usage in toilets and other purposes. Rainwater harvesting has been one of the biggest initiatives to conserve water.

3. Does the Company have procedures in place for sustainable sourcing including transportation? If yes provide details of what percentage has been sourced sustainably:

Each vendor is viewed as a partner in the process of business growth, and also as enablers of mutual long term sustainable growth. The Company believes in investing time and effort in building mutually beneficial relationships. The business responsibility extends to the supply chain partners – the people from where the products are sourced from and the people to whom key processes are outsourced. Vendors are a part of the Company's ecosystem and their relationship with the Company is a reflection of the same.

Each Division of the Company has its own supply chain process. In the Jewellery division, plain gold and a part of studded Jewellery making are largely outsourced and the vendor base varies from large diamond providers to Karigars. The Company's association with Jewellery Karigars in creating a Karigar Centre is a benchmark in creating sustainable livelihood engagement in the industry. Moreover, the Company has supported Self-Help Groups (SHGs) of women at Hosur which has grown in strength over the past two decades and supports various manufacturing activities for all the Divisions at Hosur.

The Jewellery Division has implemented a structured process towards its obligation and proactive engagement to enable responsible sourcing across its supply chain. Details of responsible sourcing and policies are covered under the section Supply Chain Management and Responsible Sourcing part of the Integrated Report section.

4. Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes. The Company's key intent is to help local suppliers scale up and improve their operations, and to ensure sustainable livelihood in the neighbourhood of its operations and also expects to build stronger and

long-term ties with them. The local vendors are further supported by:

- Training them on quality and environmental aspects like energy conservation, reduced usage of plastic materials and handling hazardous products.
- Providing the necessary support on implementing safety, through safety training, audits and building capacity.
- Motivating them to get certified to the ISO standards – ISO 9001 and ISO 14001, to improve their processes and also through programs to help them on safety related practices towards a larger goal of ensuring sustainable supply chain practices.

The Karigar Centre initiative in the Jewellery Division and the women's SHG at the plant location in Hosur are classic examples of enabling local vendor development and sourcing.

The vendors are also apprised of the requirements of the Tata Code of Conduct.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%) Also provide details in about 50 words or so.

Yes >10%. The Company has adopted a focused strategy towards waste management through waste minimization and conservation of resources. This continued effort to eliminate, recycle and reuse waste, has resulted in less waste being disposed off. Gold is recycled at the Jewellery plant and silver is recovered from old batteries, brass used in watch manufacturing is sent to the supplier for recycling. Brass scrap in watch case manufacturing is recycled. The wood packaging is reused and there is an attempt to recycle most of the input materials. Gold, which is one of the key raw materials, is 100% recyclable and Jewellery obtained through the Company's exchange programs are also recycled. The E-waste is segregated at the source and disposed off safely. Currently 44.74% of the Gold used in the division is from Customer returned/exchanged Gold.

The bio-waste from canteens and factories is run through a vermi-compost setup which yields manure and surplus manure is sold to local farmers at subsidized prices.

Waste generation is contained within the limits prescribed by the Central Pollution Control Board (CPCB) and applicable State Pollution Control Boards (SPCBs) across all Divisions.

Principle 3**1. Please indicate the total number of employees**

7,263 employees as on 31st March 2022.

2. Please indicate the total number of employees hired on temporary/contractual and casual basis

An indicative number of the employees hired in contractual/temporary basis were approximately 6,521 as on 31st March 2022.

3. Please indicate the number of permanent women employees

There were 1,961 women employees as on 31st March 2022.

4. Please indicate the number of permanent employees with disabilities

136 employees as on 31st March 2022.

5. Do you have an employee association that is recognized by the management?

Yes.

6. What percentage of your permanent employees is members of this recognized employee association?

15% of the permanent employees are members of the recognized employee association.

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending as on the end of the financial year.

The Company has adopted a Policy on Prevention of Sexual Harassment at Workplace and has internal committees to deal with concerns raised by employees.

During FY 2021-22, the Company had received Seven complaints of sexual harassment and all of which were disposed off with appropriate action as on 31st March 2022.

8. What percentage of your under mentioned employees were given safety and skill upgradation training in the last year?

- Permanent employees
- Casual/temporary/contractual employees
- Employees with disabilities

75% of the permanent employees and 95% of the temporary employees were given safety training and retraining. All employees who join the Company are covered under safety and occupational health training. This training includes ergonomics, life-saving

skills, emergency preparedness, electrical safety and behavioral-based safety. Employees and drivers of Company-hired vehicles are trained on defensive driving techniques.

The Company has also implemented a unique prevention-oriented safety engagement program, "Project Suraksha", which focuses on safety at stores and has been in place since the last five years. This has now been extended to all franchisee stores as well.

A formal training program for different employee categories is in place for both competency and skill enhancement. These cover leadership development, behavioural, managerial and functional development programs.

Titan has been successfully upgraded to ISO 45001 standard on occupational Health and Safety from OHSAS 18001. People are trained on the identification of Hazards and Mitigation of Risk as part of ISO 45001 standard certification.

Implementation of safety protocol for managing COVID-19 pandemic at manufacturing units, offices, retail stores and vendor units including deep cleaning, disinfection and fumigation of the premises. Periodic reviews on prevention and preparedness to handle COVID-19 related challenges were also undertaken.

Principle 4**1. Has the Company mapped its internal and external stakeholders?**

Yes.

2. Out of the above has the Company identified the disadvantaged, vulnerable and marginalized stakeholders?

Yes.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged vulnerable and marginalized stakeholders? If so provide details in about 50 words

Yes. The CSR and Affirmative Action Policies cover these in detail. The Company has been a strong advocate of diversity and inclusion through its practices.

The Company's CSR focus is driven by broad themes such as upliftment of the underprivileged girl child, skill development for the underprivileged and support for Indian Arts, Crafts and Heritage. Details of the CSR programs are available in **Annexure-II** of the Board's Report.

The Company identifies a huge opportunity to improve the quality of living of the people through its businesses. Some of the successful and ongoing initiatives include the setting up and running of Self Help Groups through MEADOWS, to augment business-related activities.

Principle 5

- Does the policy of the Company on human rights cover only the Company or extend to the Group/JV partners/Suppliers/Contractors/NGO's others?**

The Company's approach on human rights as embedded in the Tata Code of Conduct extends to the Group/JV, Subsidiaries, contractors and others.

- How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?**

No complaints with respect to human rights were received during the year.

Principle 6

- Does the policy related to Principle 6 cover only the company or extends to the Group/JV/Suppliers/Contractors/NGO's/others?**

No, the policy extends to Group/JV/Suppliers/Contractors/NGO's/others, etc.

- Does the company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc. Y/N? If yes give hyper link for webpage etc.**

Yes, the Company has adopted a Sustainability Policy. Please refer to <https://www.titancompany.in/investors/corporate-governance/policies>.

- Does the Company identify and assess potential environmental risks?**

Yes, as part of Environmental Management System implementation (ISO 14001) in its operations.

- Does the Company have any project related to clean development mechanism? If so provide details thereof, in about 50 words or so. Also if yes, whether any environment compliance report is filed:**

Not applicable.

- Has the Company undertaken any other initiatives on – Clean technology, energy efficiency, renewable energy etc. If Yes please give hyper link for web page:**

Yes, many programs are in place across the Divisions. The table above on Energy consumption gives an overview of the Company's focus on renewable energy, and other initiatives that towards energy efficiency. Please refer to <https://www.titancompany.in/investors/corporate-governance/policies>.

- Are the Emissions/Waste generated by the company within the permissible limits given by the CPCB/SPCB for the financial year being reported?**

Yes

- Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e., not resolved to satisfaction) as on end of financial year:**

There were no show cause/legal notices received from CPCB/SPCB as on 31st March 2022.

Principle 7

- Is your Company a member of any trade and chamber or association? If yes name only the major ones that your business deals with**

- Confederation of Indian Industry (CII)
- Retailers Association of India (RAI)
- Federation of Indian Chambers of Commerce & Industry (FICCI)
- The Associated Chambers of Commerce and Industry in India (ASSOCHAM)
- Gem and Jewellery Skill Council of India
- Indian Optometric Association
- All India Federation of Horological Industries

- Have you advocated/lobbied through the above associations for the advertisement or improvement of public good? Yes/No If yes specify the broad areas**

Yes, representations were made regarding Jewellery industry practices, dealing with fake and smuggled products especially watches, and setting up of skill standards in Jewellery and watch making.

Principle 8

1. Does the Company have specified programs/initiatives/projects in pursuit of the policy related to principle 8? If yes details, thereof

Yes. The Company's initiatives and projects support inclusive growth. Please refer to CSR Report in **Annexure-II** to the Board's Report.

2. Are the programs/projects undertaken through in-house team/own foundation/external NGO/government structures and any other organization:

Please refer to the CSR Report which is annexed as **Annexure-II** to the Board's Report in this Annual Report.

3. Have you done any impact assessment of your initiative?

Yes. Please refer to the CSR Report which is annexed as **Annexure-II** to the Board's Report in this Annual Report.

4. What is your Company's direct contribution to community development projects – Amount in INR and the details of the projects undertaken

During FY 2021-22, the Company spent ₹ 35.42 crore towards CSR initiatives. Details of the projects are available in **Annexure II** to the Board's Report.

5. Have you taken steps to ensure this community development initiative is successfully adopted by the community? Please explain in 50 words or so.

Yes. Each of the projects is having an outcome which is acknowledged by the community. The Company works with associations who have a grass root understanding of the community that makes it successful, both in the short term and long term. For more details, please refer to **Annexure-II** to the Board's Report.

Principle 9

1. What percentage of the customer complaints/consumer cases are pending as on end of the financial year?

Customer Complaint (Products and Services)	Number of Complaints		
	Received	Resolved	Pending as on 31 st March 2022
Watch Division	1.35%	1.35%	0
% of warranty complaints on sales			
EyeCare Division	0.65%	0.65%	0
% of warranty complaints on sales			
Jewellery Division	0.36%	0.36%	0
No. of warranty complaints on sales			

2. Does the Company display product information on the product label, over and above what is mandated by local laws?

Some of the products contain information over and above what is mandated as per local laws.

3. Is there any case filed by any stakeholder against the Company regarding the unfair trade practices, irresponsible advertising, and/or anti-competitive behavior during the last five years and pending as on end of financial year? If so, provide the details thereof in about 50 words or so:

There are no cases pending with regard to unfair trade practices, irresponsible advertising and/or anticompetitive behaviour as on 31st March 2022.

4. Did the Company carry out any consumer survey/consumer satisfaction trends?

Yes. These are carried out across divisions and brands routinely and used for internal improvement purposes.